

# Daily Market Report

Tuesday, June 16, 2026 - After Market Close | Singapore

## SECTION 1 - Market Summary

| Index            | Closing Price | Day    | 1 Week  | 1 Month | 1 Year  | 52W High | 52W Low |
|------------------|---------------|--------|---------|---------|---------|----------|---------|
| S&P 500 (SPY)    | 750.33        | -0.60% | +1.80%  | +1.51%  | +25.12% | 759.57   | 594.28  |
| Nasdaq 100 (QQQ) | 729.86        | -1.90% | +3.11%  | +2.95%  | +37.53% | 746.16   | 526.83  |
| VIX              | 16.2          | -8.37% | -14.38% | -12.10% | -5.59%  | 31.05    | 13.47   |

Tuesday's session delivered a tech-led retreat, with the Nasdaq 100 (NDX) shedding -1.9% as semiconductors bore the brunt of selling pressure ahead of the critical FOMC decision by new Fed Chair Kevin Warsh, while the broader S&P 500 (SPY) slid a more modest -0.6% thanks to resilient gains in Financials (+1.47%) and Utilities (+0.72%) cushioning the blow. The divergence between a falling NDX and advancing defensive/financial sectors underscores a live rotation narrative, even as the VIX cooling to 16.2 (-8.37% on the day) signals that fear is not driving this pullback.

## SECTION 1B - Early Warning

| Signal               | Status | What It Means                |
|----------------------|--------|------------------------------|
| VIX (fear gauge)     | GREEN  | 16.2 - calm                  |
| Breadth (sectors up) | GREEN  | 8/11 sectors green - broad   |
| S&P vs 50-day avg    | GREEN  | +3.3% vs trend               |
| Consumer confidence  | GREY   | N/A - set manually in config |
| 10Y Treasury yield   | GREEN  | 4.47%                        |

Overall: HEALTHY

## SECTION 2 - Stock Spotlights

### Micron Technology (MU)

| Metric         | Value                                                                                                                    |
|----------------|--------------------------------------------------------------------------------------------------------------------------|
| Closing Price  | 1020.76                                                                                                                  |
| Day Change     | -6.18%                                                                                                                   |
| 52W High       | 1087.99                                                                                                                  |
| 52W Low        | 104.88                                                                                                                   |
| P/E Ratio      | 48.1                                                                                                                     |
| Dividend Yield | 6.0%                                                                                                                     |
| Analyst View   | strong_buy                                                                                                               |
| Analyst Target | \$890.86 consensus / \$1,316.67 most-recent 3-analyst avg (Benzinga/TD Cowen, RBC Capital, Wolfe Research, Jun 15, 2026) |
| Next Earnings  | Jun 24, 2026                                                                                                             |
| Beta (1Y)      | 3.0                                                                                                                      |

**HOLD** - MU trades at \$1,020.76, materially above the S&P Global consensus target of \$866.60 (44 analysts), suggesting the street's aggregate model has not caught up to the stock's extraordinary +820% 1-year run — the most bullish recent cluster of TD Cowen, RBC Capital, and Wolfe Research averaged \$1,316.67 implying further upside, but the wide dispersion (low: \$249, high: \$1,750) demands caution. Momentum is genuinely exceptional with MU up ~820% over the trailing year and fiscal Q3 guidance of \$33.5B revenue at ~81% gross margin pointing to continued fundamental strength, yet the stock sits -6.3% below its 52-week high of \$1,087.99 and fell -6.18% on Tuesday, likely reflecting pre-earnings jitters ahead of the June 24 report. The single biggest risk is a post-earnings sell-the-news reaction: MU historically moves an average of -4.12% around earnings date announcements, and with elevated expectations already priced in at a P/E of 48.1x, any guide-down or macro-driven DRAM/NAND demand softness could trigger a sharp drawdown given its beta of 3.0.

## SECTION 3 - Watchlist

| Ticker | Company            | Price  | Day           | 1 Week         | 1 Month        | 1 Year          | 52W Low | 52W High | Beta |
|--------|--------------------|--------|---------------|----------------|----------------|-----------------|---------|----------|------|
| SPCX   | SpaceX             | 201.8  | <b>+4.83%</b> | N/A            | N/A            | <b>+49.48%</b>  | 135.0   | 201.8    | N/A  |
| NVDA   | Nvidia             | 207.41 | <b>-2.37%</b> | <b>-0.37%</b>  | <b>-7.95%</b>  | <b>+45.42%</b>  | 141.97  | 235.74   | 1.84 |
| AMD    | AMD                | 507.29 | <b>-7.30%</b> | <b>+6.68%</b>  | <b>+19.62%</b> | <b>+316.73%</b> | 116.16  | 547.26   | 2.9  |
| AVGO   | Broadcom           | 376.71 | <b>-4.37%</b> | <b>-3.94%</b>  | <b>-11.40%</b> | <b>+54.21%</b>  | 244.28  | 481.57   | 2.14 |
| GOOGL  | Alphabet           | 373.25 | <b>+1.06%</b> | <b>+2.47%</b>  | <b>-5.93%</b>  | <b>+111.97%</b> | 165.19  | 402.62   | 1.29 |
| IBM    | IBM                | 270.81 | <b>+0.78%</b> | <b>-2.41%</b>  | <b>+23.49%</b> | <b>-0.47%</b>   | 214.64  | 329.23   | 1.05 |
| MSFT   | Microsoft          | 393.83 | <b>-1.48%</b> | <b>-2.37%</b>  | <b>-6.66%</b>  | <b>-16.69%</b>  | 356.77  | 542.07   | 0.86 |
| INTC   | Intel              | 117.05 | <b>-8.45%</b> | <b>+8.46%</b>  | <b>+7.61%</b>  | <b>+471.53%</b> | 19.31   | 129.44   | 2.56 |
| C      | Citigroup          | 142.99 | <b>+1.26%</b> | <b>+6.13%</b>  | <b>+15.86%</b> | <b>+82.92%</b>  | 76.36   | 142.99   | 1.4  |
| QRVO   | Qorvo              | 96.56  | <b>-4.66%</b> | <b>-1.41%</b>  | <b>+4.67%</b>  | <b>+19.08%</b>  | 76.02   | 108.23   | 1.23 |
| ANET   | Arista Networks    | 168.01 | <b>-0.64%</b> | <b>+10.42%</b> | <b>+18.34%</b> | <b>+73.56%</b>  | 86.25   | 177.73   | 2.07 |
| WQTM   | Quantum ETF (WQTM) | 36.68  | <b>-4.40%</b> | <b>+2.62%</b>  | <b>+7.85%</b>  | <b>+21.10%</b>  | 23.32   | 41.31    | 2.4  |
| GFS    | GlobalFoundries    | 79.92  | <b>-4.83%</b> | <b>+6.19%</b>  | <b>+12.52%</b> | <b>+108.18%</b> | 31.62   | 89.96    | 2.05 |

## SECTION 4 - Why Markets Moved

Tuesday June 16 delivered a bifurcated session: the Nasdaq 100 (NDX) dropped -1.9% as semiconductor and mega-cap tech names led the decline, with Intel (-8.45%), AMD (-7.3%), Micron (-6.18%), Broadcom (-4.37%), and Nvidia (-2.37%) all suffering notable losses. Citigroup (+1.26%), Alphabet (+1.06%), and SpaceX/SPCX (+4.83%) were notable exceptions, while the S&P 500 held up better at -0.6% due to Financials (+1.47%), Utilities (+0.72%), and Industrials (+0.65%) gaining ground on the day. The most active S&P 500 names confirmed the semiconductor stress, with Intel, Micron, and Nvidia among the heaviest-traded declining issues alongside Netflix (-4.56%) and Tesla (-1.50%).

The immediate catalyst is a confluence of macro and event-driven pressures. New Fed Chair Kevin Warsh's inaugural FOMC meeting on June 16-17 is the dominant overhang: markets heading into the week were pricing a 98.6% probability the Fed holds rates steady, but the critical unknown is the 'dot plot' — the March edition pencilled in one cut, but current conditions (headline PPI at +6.5% YoY, the highest since November 2022, and energy sub-index up ~37% YoY) make a hawkish revision likely with some policymakers potentially pencilling in a hike. Meanwhile, the US-Iran 60-day ceasefire deal — which sent oil below \$80/barrel on Monday — has begun fading in its relief effect for tech multiples, as the focus shifts back to sticky inflation. Bank of America's pre-market-peak warning checklist hitting 70% — matching the historical average at seven prior major market tops — is adding an additional valuation overhang for growth stocks.

For overseas retail investors, the key takeaway is that this is a rotation pullback within an intact medium-term bull market rather than the beginning of a bear trend: the VIX at 16.2 is calm, 8 of 11 sectors remain green for the week, and the S&P 500 sits +3.3% above its 50-day moving average. The earnings season pivot point for the tech trade arrives June 24 when Micron reports Q3 — consensus expects \$19.19 EPS — and a strong beat with positive demand commentary could re-ignite the semiconductor complex. However, investors should treat any near-term tech bounce with discipline given stretched valuations, the possibility of a hawkish dot plot, and the NDX trading near -2.3% below its 52-week high with a higher-rates-for-longer regime appearing increasingly likely.

## SECTION 5 - Sector Rotation & Macro

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### Winners

- Financials: **+1.47%**
- Utilities: **+0.72%**
- Industrials: **+0.65%**

### Losers

- Energy: **-0.34%**
- Technology: **-2.79%**

### Macro

- FOMC DECISION OVERHANG: New Fed Chair Kevin Warsh's inaugural June 16-17 meeting is the week's dominant macro event; with headline PPI at +6.5% YoY (highest since Nov 2022) and futures implying a 98.6% hold probability, the key risk lies in a hawkish dot plot revising out the March-guided single 2026 cut — potentially signalling a hike instead — which would directly pressure high-multiple tech valuations.

- **OIL & IRAN CEASEFIRE:** The US-Iran 60-day deal to reopen the Strait of Hormuz sent Brent crude briefly below \$80/barrel on Monday, providing near-term inflation relief. If the ceasefire holds to its June 19 formal signing in Switzerland, further easing of energy prices could allow headline inflation to peak, reducing the pressure on the Fed to hike — but the deal remains fragile, and Fidelity's midyear outlook flags an 'indefinite oil supply crunch' as a meaningful tail risk.
- **GDPGROWTH & EARNINGS BREADTH:** US Q1 2026 GDP grew at a solid +2.0% annualised pace; BlackRock's June 2026 commentary highlights that tech earnings growth has proven sufficient to outrun valuation pressure from higher rates, with AI investment spending remaining a structural tailwind. Simultaneously, Morningstar/State Street note a broadening earnings rotation — small-caps and financials closing the gap with mega-cap tech — which is why the session's sector divergence (Tech -2.79% vs. Financials +1.47%) is consistent with a healthy, broadening bull market rather than a crisis signal.

SECTION 6 - Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search - confirm before trading.

| Company            | Ticker | Next Earnings |           |
|--------------------|--------|---------------|-----------|
| Micron Technology  | MU     | Jun 24, 2026  | WATCHLIST |
| Adobe Systems      | ADBE   | Jun 18, 2026  |           |
| Kroger             | KR     | Jun 19, 2026  |           |
| FedEx              | FDX    | Jun 19, 2026  |           |
| CarMax             | KMX    | Jun 20, 2026  |           |
| Darden Restaurants | DRI    | Jun 18, 2026  |           |
| Accenture          | ACN    | Jun 19, 2026  |           |
| Carnival Corp      | CCL    | Jun 20, 2026  |           |
| Nike               | NKE    | Jun 26, 2026  |           |
| General Mills      | GIS    | Jun 25, 2026  |           |
| Paychex            | PAYX   | Jun 25, 2026  |           |

## SECTION 6B - Opportunity Radar

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- **AI Memory Super-Cycle** - Micron guided fiscal Q3 to record revenue of \$33.5B at ~81% gross margins while customers are only receiving 50-66% of their demand — this acute DRAM/NAND supply constraint, paired with AI inference scaling requiring ever-larger memory footprints, makes the memory stack the tightest bottleneck in the AI supply chain going into H2 2026. The Q3 earnings catalyst on June 24 could be the re-ignition point after Tuesday's -6.18% pullback. (e.g. MU)
- **Financials Rotation / Rate-Curve Steepening** - Financials (+1.47% Tuesday) have emerged as the standout sector, with Citigroup hitting a fresh 52-week high (\$142.99) and posting +82.92% over the trailing year. A steepening yield curve driven by persistent inflation and a hawkish Warsh-era Fed expanding net interest margins, combined with record M&A activity flagged in the BofA warning checklist, is creating a sustained catalyst for money-centre banks that is fundamentally distinct from the AI narrative. (e.g. C)
- **NDX Quarterly Rebalance New Entrants** - The Nasdaq-100 June 2026 quarterly rebalance becomes effective June 22, adding five new constituents — Astera Labs (ALAB), CoreWeave (CRWV), Nebius Group (NBIS), Rocket Lab (RKLB), and Teradyne (TER) — triggering mandatory buying from all QQQ-tracking passive vehicles and index-linked products. Rocket Lab in particular received analyst upgrades this month after a Neutron development update pulled forward its maiden launch window, with one analyst initiating at Buy citing a defensible second-mover position behind SpaceX. (e.g. RKLB)

Current conditions support a selective BUY posture with disciplined position sizing rather than a broad risk-on surge. The VIX at 16.2 (calm), 8/11 sectors green on the week, and the S&P 500 sitting +3.3% above its 50-day moving average all argue against defensive de-risking — there is no correction signal in the early warning panel. However, the FOMC dot plot risk (potential hawkish pivot by Warsh), Bank of America's pre-peak checklist at 70%, PPI at a 3.5-year high of +6.5% YoY, and stretched tech valuations with the Nasdaq 100 -1.9% on the day and several flagship names trading well above consensus analyst targets (MU at \$1,020 vs. \$866 consensus) argue for trimming overweight tech positions into strength rather than chasing, while rotating incrementally toward Financials and Industrials where valuations are more reasonable and sector momentum is constructive. For overseas investors, the 10Y Treasury at 4.47% now offers a meaningful real yield that justifies holding 10-15% in short-duration US Treasuries as ballast, and the Iran ceasefire oil dividend may be temporary — keep energy as a hedge.

## SECTION 7 - Stocks to Watch

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C | Price: \$142.99 | **BUY** | Horizon: 5-YEAR

Citigroup just touched a 52-week high of \$142.99 — its highest level in years — underpinned by a +82.92% trailing 1-year gain and a beta of 1.40, while the rate environment (persistent inflation, potential Warsh-era hikes, steepening yield curve) structurally expands bank net interest margins for years ahead; the ongoing global banking consolidation wave further supports a premium re-rating. Accumulate on any pullback toward \$130-\$135 with a 5-year target driven by both earnings leverage to rates and returning capital via dividends and buybacks.

**GOOGL** | Price: \$373.25 | **HOLD** | Horizon: 1-YEAR

Alphabet is a relative bright spot in the tech selloff, up +1.06% on Tuesday and sitting -7.3% below its 52-week high of \$402.62 with a defensible +111.97% 1-year return; AI monetisation through Search and Cloud, combined with a lower beta (1.29) versus semiconductor peers, makes it a quality hold. However, a -5.93% 1-month trend and unresolved DOJ antitrust proceedings cap the near-term re-rating ceiling — hold existing positions but await the next earnings catalyst before adding.

**MSFT** | Price: \$393.83 | **SELL** | Horizon: EXIT NOW

Microsoft is the standout underperformer among mega-caps with a -16.69% trailing 1-year return, trading at \$393.83 versus a 52-week high of \$542.07 — a -27.4% drawdown from the peak — while its -6.66% 1-month trend and -2.37% 1-week move confirm deteriorating relative momentum in a market that is otherwise only -0.6% on the S&P; the valuation question around enormous AI capex spend (\$500B+ industry-wide with incremental software revenue gains) is unresolved. Exit or reduce to an underweight: capital is better deployed in Financials or quality tech names with cleaner momentum profiles.

**AMD** | Price: \$507.29 | **BUY** | Horizon: 5-YEAR

AMD's extraordinary +316.73% 1-year gain and +19.62% 1-month surge confirm structural share gains in both data centre GPU and server CPU markets, with the stock still -7.3% below its 52-week high of \$547.26 after Tuesday's -7.3% single-day selloff creating a tactical entry point; Tuesday's drop appears sector-driven rather than AMD-specific, and the AI accelerator competitive dynamic against Nvidia provides a multi-year runway. High beta (2.9) demands a staged accumulation approach — initiate one-third of position near current \$507 and add on further weakness toward \$470.

**ANET** | Price: \$168.01 | **BUY** | Horizon: 1-YEAR

Arista Networks is one of the cleaner AI infrastructure plays in the NDX universe, up +10.42% over the past week and +18.34% over the past month, sitting only -5.5% below its 52-week high of \$177.73 — remarkably resilient given Tuesday's broad tech selloff of only -0.64%. Arista's data centre networking dominance positions it as an essential beneficiary of hyperscaler AI capex regardless of which GPU vendor wins, offering a more durable and lower-churn revenue model than pure semiconductor plays.

## SECTION 8 - Market Trends

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Tuesday's market action reveals a classic 'FOMC paralysis' pattern: semiconductors and high-beta tech sold off sharply as institutional traders de-risked ahead of the Warsh dot plot, while Financials and defensives absorbed the rotation, confirming that the broad market structure remains intact rather than entering a risk-off phase. The VIX collapsing -8.37% on a day when QQQ fell -1.9% is a constructive signal — fear is not accompanying the tech selloff, meaning this is repositioning, not panic. Near-term direction hinges almost entirely on the June 17 FOMC statement and press conference: a hold with a neutral dot plot would likely trigger a sharp tech relief rally, while a hawkish revision (signalling potential 2026 hikes) could extend the NDX weakness toward the 52-week high gap at -2.3% below current levels.

### Upside Risks

- FOMC Hold + Neutral Dot Plot: With CME FedWatch implying 98.6% probability of a June hold, if Warsh's inaugural press conference delivers a 'prolonged pause' rather than hawkish signals, the semiconductor complex could snap back sharply — AMD has already fallen -7.3% in one session, creating a compressed coil.
- Iran Ceasefire Durability: If the US-Iran deal holds to formal signing on June 19 in Switzerland and oil remains below \$80/barrel, headline inflation could peak this quarter per Edward Jones analysis, materially reducing the rate-hike probability and supporting multi-year tech multiples.
- Micron Q3 Earnings Beat (June 24): With consensus EPS at \$19.19 and MU guiding to \$33.5B revenue at ~81% gross margins while customers receive only 50-66% of demand, a significant beat could re-rate the entire memory and AI infrastructure sector — MU's beta of 3.0 means any positive surprise has outsized index-level impact.

### Downside Risks

- Hawkish Warsh Dot Plot: If enough FOMC members pencil in a 2026 rate hike (the March dot plot showed one cut, which is likely to be revised), NDX names trading at 30-50x forward earnings face immediate multiple compression — the BofA pre-peak checklist is already at 70%, matching the average at the last seven major market tops.
- PPI Inflation Persistence: May PPI at +6.5% YoY (highest since November 2022) with the energy sub-index up ~37% YoY and core PPI ex-food/energy rising +4.9% annually signals sticky cost pressures that could force the Fed into a longer pause than markets expect, compressing the earnings multiple for high-duration growth assets.
- Semiconductor Demand Air Pocket: Intel fell -8.45% and AMD -7.3% in a single session driven by sector-wide selling; if Micron's June 24 Q3 report reveals any softening in HBM/DRAM order visibility beyond the current supply constraint narrative, a broad re-rating of the AI memory trade could accelerate, given MU's beta of 3.0 acting as a sector sentiment amplifier.



## SECTION 9 - Portfolio Allocation (5-8 Year Horizon)

With the VIX at a calm 16.2, 8/11 sectors green, and the S&P 500 +3.3% above its 50-day average, a growth-with-preservation framework is appropriate for a 5-8 year retirement horizon — enough time to participate in AI and financial sector tailwinds while incrementally shifting toward capital preservation as sequence-of-returns risk becomes the dominant concern. The 10Y Treasury at 4.47% now offers a genuine real yield alternative that did not exist in 2020-2021, making a meaningful fixed-income allocation both rational and rewarding without sacrificing all growth participation.

| Bucket                                                                     | Allocation % | Purpose                                                                                                                                                                                                                                                                                                                                                              |
|----------------------------------------------------------------------------|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>US Large-Cap Growth Equities (AI / Tech / Financials)</b>               | 30%          | Core growth engine targeting the AI infrastructure cycle and financial sector re-rating; tilted toward lower-beta quality names (GOOGL, ANET, C) rather than hyperbolic semiconductors; provides the primary capital appreciation engine over the 5-8 year horizon.                                                                                                  |
| <b>US Dividend &amp; Value Equities (Low-Beta / Defensives)</b>            | 15%          | Capital preservation with income generation via blue-chip dividend payers in Utilities, Healthcare, and Consumer Staples; targets beta below 1.0 to dampen sequence-of-returns risk; provides portfolio cushion in drawdown scenarios similar to Tuesday's sector rotation.                                                                                          |
| <b>US Intermediate Treasury / Investment-Grade Bonds (5-10Y)</b>           | 20%          | Core fixed-income ballast at 4.47% 10Y yield — now offering meaningful real return; duration positioned at 5-7 years to capture yield without excessive sensitivity to further hikes; buffers portfolio against equity volatility in the critical pre-retirement window.                                                                                             |
| <b>Short-Duration Treasuries / Money Market (Cash Equivalent)</b>          | 10%          | Liquidity buffer and sequence-of-returns protection; holds 1-2 years of projected withdrawal needs; reduces forced equity selling during drawdowns; earns competitive yield at current short rates given the Fed's extended pause posture.                                                                                                                           |
| <b>International Developed Market Equities (ex-US)</b>                     | 12%          | Geographic diversification capturing European and Japanese recovery; hedges against US dollar weakness and over-concentration in US tech; Morningstar highlights EM emerging market stocks gaining 20%+ YTD on semiconductor strength as a complementary allocation.                                                                                                 |
| <b>Real Assets / Commodities / Energy</b>                                  | 8%           | Inflation hedge in a persistent PPI +6.5% YoY environment; Fidelity midyear 2026 outlook specifically recommends energy exposure for investors concerned about oil supply crunch risk; acts as portfolio hedge if Iran ceasefire breaks down and oil resumes its uptrend above \$100.                                                                                |
| <b>Alternative / Thematic (Quantum ETF, Space, Private-Market Proxies)</b> | 5%           | Small satellite allocation to high-conviction long-duration structural themes (quantum computing via WQTM, commercial space via SPCX) that may deliver asymmetric returns over a 5-8 year window; capped at 5% given high beta (WQTM beta 2.4) and limited near-term earnings visibility; treated as venture-style exposure within a conservative overall framework. |

**Rebalance Trigger:** Initiate rebalancing if: (1) VIX closes above 25 for two consecutive sessions — signalling a risk-off regime shift requiring a 5% shift from Growth Equities to Short-Duration Treasuries; or (2) the S&P 500 falls more than 8%

below its 50-day moving average, breaking the current +3.3% cushion by a wide margin — trim Large-Cap Growth by 5% and add to Investment-Grade Bonds; or (3) the 10Y Treasury yield rises above 5.25% — rotate 5% from Intermediate Bonds to Short-Duration to reduce duration risk; or (4) any single bucket drifts more than 5 percentage points from its target weight at a quarterly review.

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